

ACC250: Intro to Financial Accounting

Ch3. The Income Statement

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Learning Objectives

- Extend the debit/credit framework to revenues and expenses.
- Distinguish accrual-basis from cash-basis accounting.
- Apply the revenue recognition principle and the matching principle.
- Account for receivables, payables, deferred revenues, and prepaid expenses.

1 Introduction to Income Statement and Accrual Accounting

- Operating Activities and Cycle
- Revenues, Expenses, and Net Income
- Debit-Credit Framework - Expansion
- Accrual-basis Accounting vs Cash-basis Accounting

2 Important Accounts

- Accounts Receivable (Assets)
- Accounts Payable (Liabilities)
- Deferred Revenues (Unearned Revenues, Liabilities)
- Prepaid Expenses (Assets)

3 Revenue and Expense Recognition - Cases

4 Illustration

- Journal Entries
- T-accounts
- Unadjusted trial balance

5 Other topics

- I/S - temporary & B/S - permanent
- Net Profit Margin

Opening illustration

1. Your company has sold a product to a customer on cash in December. The product was delivered and cash collected in December.

- Revenues: _____
- Cash inflows: _____

2. Your company has sold a product to a customer on cash in December. The product was delivered in December but cash collected in January.

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In this chapter, we study when to recognize Revenues and Expenses.

Operating Activities and Cycle

Operating activities:

- the day-to-day activities of a business.
- primary sources of Revenues and Expenses.
- mainly summarized in the Income Statement.
- include:

Suppliers

Crocs

Operating cycle:

- the period from the purchase of goods and services to the collection of cash from customers.

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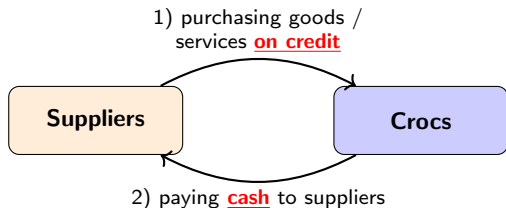
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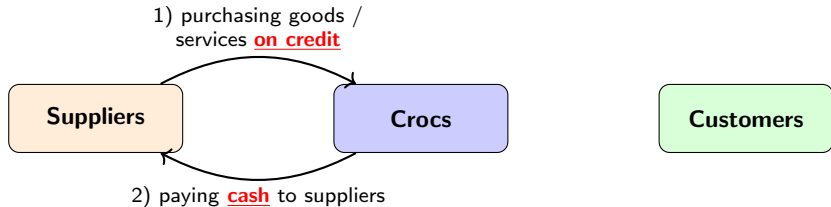
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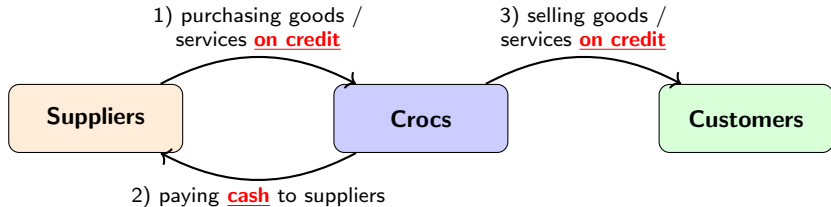
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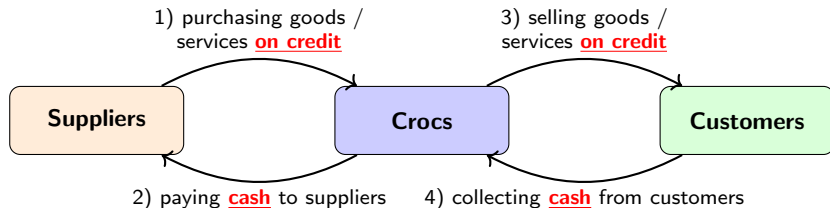


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Revenues (R) - Simple

The amount of resources (cash) earned from selling goods or services for a period.
(“earned” means products & services are delivered to customers.)

¹The textbook presents revenue recognition based on the five-step model under the new standard (ASC 606). We do not cover the five-step model here; the principle stated above is enough at the intro level. ▶ ☰ 🔍 ↺

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Revenues (R) - Formal

Increases in assets or decreases in liabilities that arise when a company provides goods or services.

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Revenue Recognition Principle

Revenue is recognized when products & services are delivered, regardless of when cash is received.

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How much revenue should Noodlecake recognize in September?

- ① In September, Noodlecake sold \$3K of apps online. Cash collected in September.
- ② Noodlecake issued three \$100 gift cards at the beginning of September. These gift cards have not been used at the end of September.
- ③ Noodlecake sold \$9K of apps in the App Store and on Google Play in September. Cash will be collected in October.

• Revenues: _____

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- Cash flow timing isn't important for revenue recognition.

Expenses (E) - Simple

Costs of operating a business, incurred to generate revenues in the period.

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Matching Principle

- Expenses should be recognized in the same period as the revenues they help to generate, regardless of when cash is paid. In other words,
- Expenses should be recognized when the resources are used up to generate the revenues.

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Costs of operating a business, incurred to generate revenues in the period.

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- ① When a company buys supplies, it's assets (A).
- ② When the supplies are used up to generate revenues, expense should be recognized expenses (E).

EX. When to recognize expenses?

- ① Noodlecake bought \$1K of supplies in September.
- ② Noodlecake used up the supplies in October.

Answer: _____

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Answer: October.

How much expenses should Noodlecake recognize in September?

- ❶ Noodlecake wrote checks to employees totaling \$7,800 for wages related to hours worked in September.
- ❷ Noodlecake displayed online ads in Sep and received a bill for \$500 to be paid in October.
- ❸ Noodlecake was notified by its bank that an automatic monthly payment of \$600 was transmitted to its utility company for electricity use in September.

• Expenses: _____

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- Cash flow timing isn't important for expense recognition.
- Expenses should be recognized in the period when the goods or services are used up.

Net Income (NI)

Revenues - Expenses.

- Net Income is a measure of a company's profitability.
- Net Income is NOT an account.
- Net Income is NOT the same as cash flows from operating activities.

$$A_t = L_t + SHE_t$$

<i>A</i>	Assets
<i>L</i>	Liabilities
<i>SHE</i>	Stockholders' Equity
<i>CC</i>	Contributed Capital
<i>RE</i>	Retained Earnings
<i>R</i>	Revenues
<i>E</i>	Expenses
<i>NI</i>	Net Income
<i>D</i>	Dividends

Debit-Credit Framework - Expansion

$$\begin{aligned}A_t &= L_t + SHE_t \\A_t &= L_t + (CC_t + RE_t)\end{aligned}$$

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Debit-Credit Framework - Expansion

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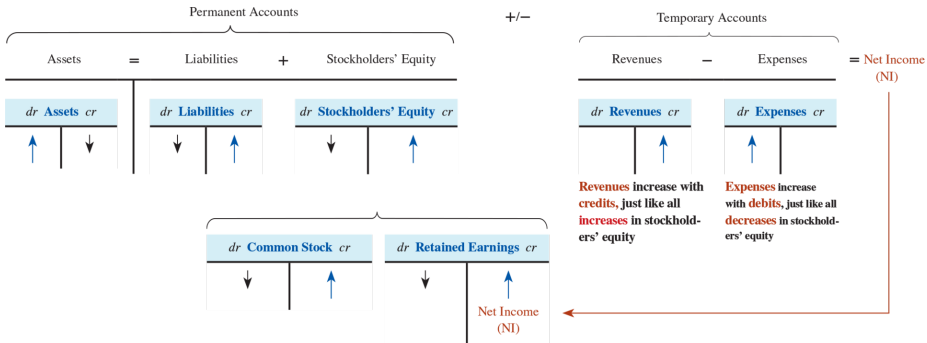
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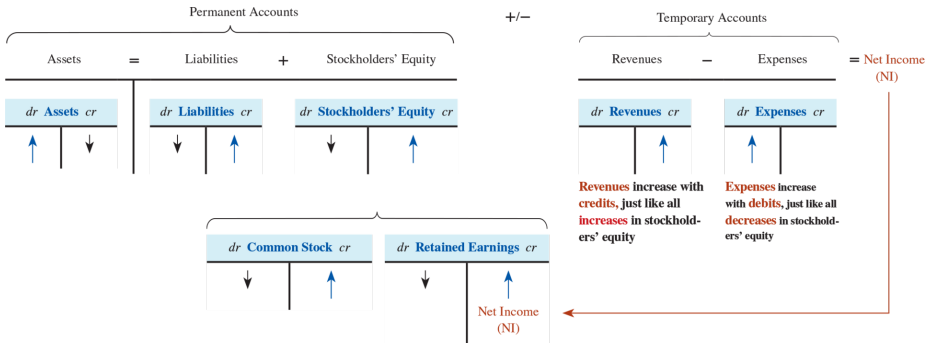
$$A_t + E_t + D_t = L_t + CC_t + (RE_{t-1} + R_t)$$

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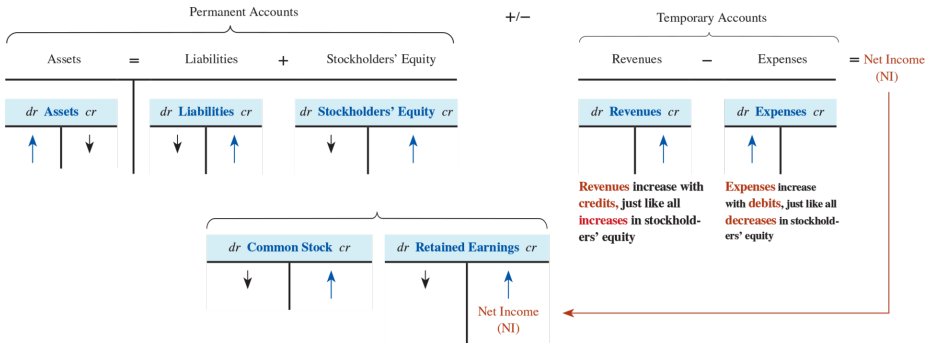


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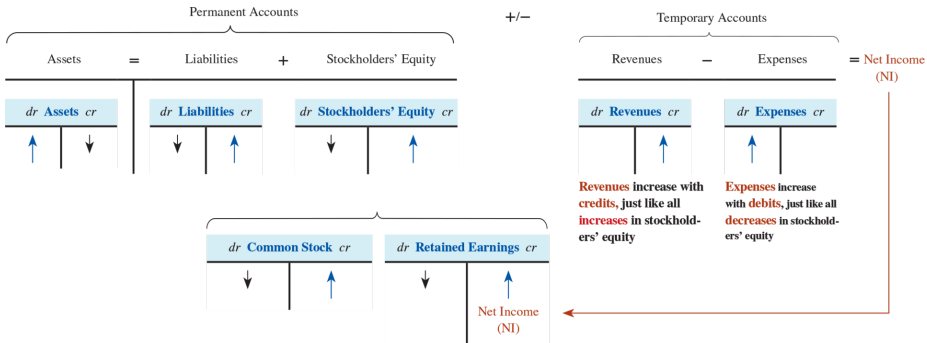
- RE: credit balance (Ch2).

Debit-Credit Framework - Expansion



- RE: **credit balance** (Ch2).
- R: **credit balance** as R has a positive relationship with RE.

Debit-Credit Framework - Expansion



- RE: **credit balance** (Ch2).
- R: **credit balance** as R has a positive relationship with RE.
- E: **debit balance** as E has a negative relationship with RE.

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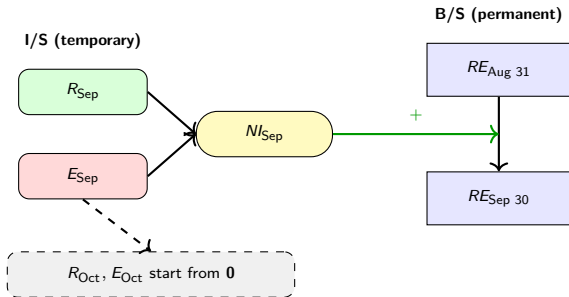
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Accrual-basis Accounting vs Cash-basis Accounting

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Accrual-basis Accounting vs Cash-basis Accounting

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Accrual-basis Accounting vs Cash-basis Accounting

- Accrual-basis accounting recognizes R & E when they are earned or incurred, regardless of when cash is received or paid.
- Cash-basis accounting recognizes R & E when cash is received or paid.
- Most companies rely on credit-based transactions, so accrual-basis accounting is more accurate.

Accrual-basis Accounting vs Cash-basis Accounting

- Noodlecake paid its employees \$10K in January.
- \$15K credit sales were made in January, but it was collected in February.

Cash-basis Accounting

	Jan	Feb
Revenues	—	—
Expenses	—	—
Net Income	—	—

Accrual-basis Accounting

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Revenues	—	—
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Cash-basis Accounting

	Jan	Feb
Revenues	<u>\$0</u>	_____
Expenses	<u>\$10,000</u>	_____
Net Income	<u><u>-\$10,000</u></u>	_____

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Net Income	<u><u>-\$10,000</u></u>	<u><u>\$15,000</u></u>

Accrual-basis Accounting

	Jan	Feb
Revenues	<u>\$15,000</u>	—
Expenses	<u>\$10,000</u>	—
Net Income	<u><u>\$5,000</u></u>	—

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Accrual-basis Accounting

	Jan	Feb
Revenues	<u>\$15,000</u>	<u>\$0</u>
Expenses	<u>\$10,000</u>	<u>\$0</u>
Net Income	<u><u>\$5,000</u></u>	<u><u>\$0</u></u>

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Accrual-basis Accounting

	Jan	Feb
Revenues	<u>\$15,000</u>	<u>\$0</u>
Expenses	<u>\$10,000</u>	<u>\$0</u>
Net Income	<u><u>\$5,000</u></u>	<u><u>\$0</u></u>

Accrual-basis accounting helps to match R & E in the same period.

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 - Net Profit Margin

Accounts Receivable (Assets)

When customers buy products from you on credit:

Date 1 - Sold on credit

Date 2 - Collected cash

Accounts Receivable (Assets)

When customers buy products from you on credit:

- Products have been delivered, but customers haven't paid yet.

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Accounts Receivable (Assets)

When customers buy products from you on credit:

- Products have been delivered, but customers haven't paid yet.
- You have the right to collect the money.

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Accounts Receivable (Assets)

When customers buy products from you on credit:

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- You record the amount as Accounts Receivable (Asset!).

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- The customer firm records the amount as Accounts Payable.

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- Example: Credit Sales.

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Accounts Receivable (A/R, Asset)

Amounts customers owe you for products and services sold on credit.

Date 1 - Sold on credit

Date 2 - Collected cash

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Accounts Receivable (A/R, Asset)

Amounts customers owe you for products and services sold on credit.

Date 1 - Sold on credit

Acc.Rec (+A)	10K
Revenues (+R, +SE)	10K

Date 2 - Collected cash

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Accounts Receivable (A/R, Asset)

Amounts customers owe you for products and services sold on credit.

Date 1 - Sold on credit

Acc.Rec (+A)	10K
Revenues (+R, +SE)	10K

Date 2 - Collected cash

Cash (+A)	10K
Acc.Rec (-A)	10K

Accounts Payable (Liabilities)

When you buy supplies on credit:

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

- supplies have been delivered to you, but you haven't paid yet.

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

- supplies have been delivered to you, but you haven't paid yet.
- You have the obligation to pay the money.

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

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Accounts Payable (Liabilities)

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- supplies have been delivered to you, but you haven't paid yet.
- You have the obligation to pay the money.
- You record the amount as Accounts Payable (Liab!).
- The supplier firm records the amount as Accounts Receivable.

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

- supplies have been delivered to you, but you haven't paid yet.
- You have the obligation to pay the money.
- You record the amount as Accounts Payable (Liab!).
- The supplier firm records the amount as Accounts Receivable.
- Example: Credit Purchases.

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

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- Example: Credit Purchases.

Accounts Payable (Liability)

Amounts owed to suppliers for products and services purchased on credit.

Date 1 - Purchased on credit

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

- supplies have been delivered to you, but you haven't paid yet.
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- The supplier firm records the amount as Accounts Receivable.
- Example: Credit Purchases.

Accounts Payable (Liability)

Amounts owed to suppliers for products and services purchased on credit.

Date 1 - Purchased on credit

Supplies (+A)	10K
Acc.Pay (+L)	10K

Date 2 - Paid cash

Accounts Payable (Liabilities)

When you buy supplies on credit:

- supplies have been delivered to you, but you haven't paid yet.
- You have the obligation to pay the money.
- You record the amount as Accounts Payable (Liab!).
- The supplier firm records the amount as Accounts Receivable.
- Example: Credit Purchases.

Accounts Payable (Liability)

Amounts owed to suppliers for products and services purchased on credit.

Date 1 - Purchased on credit

Supplies (+A)	10K
Acc.Pay (+L)	10K

Date 2 - Paid cash

Acc.Pay (-L)	10K
Cash (-A)	10K

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

Date 1 - Received cash

Date 2 - Delivered products & services

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.

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When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.
- You have the obligation to deliver the products and services.
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Date 1 - Received cash

Date 2 - Delivered products & services

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.
- You have the obligation to deliver the products and services.
- You record the amount as Deferred Revenues or Unearned Revenues (Liab!).
- This liability is settled when the products and services are delivered.

Date 1 - Received cash

Date 2 - Delivered products & services

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.
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- This liability is settled when the products and services are delivered.
- Example: Airline tickets purchased months ago.

Date 1 - Received cash

Date 2 - Delivered products & services

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- This liability is settled when the products and services are delivered.
- Example: Airline tickets purchased months ago.

Deferred (Unearned) Revenues (Liability)

Cash received before the service is performed or the product is delivered.

Date 1 - Received cash

Date 2 - Delivered products & services

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.
- You have the obligation to deliver the products and services.
- You record the amount as Deferred Revenues or Unearned Revenues (Liab!).
- This liability is settled when the products and services are delivered.
- Example: Airline tickets purchased months ago.

Deferred (Unearned) Revenues (Liability)

Cash received before the service is performed or the product is delivered.

Date 1 - Received cash

Cash (+A)	10K
Def.Rev (+L)	10K

Date 2 - Delivered products & services

Deferred Revenues (Unearned Revenues, Liabilities)

When you receive cash in advance for future products and services:

- you've received the money, but you haven't delivered the products and services yet.
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- Example: Airline tickets purchased months ago.

Deferred (Unearned) Revenues (Liability)

Cash received before the service is performed or the product is delivered.

Date 1 - Received cash

Cash (+A)	10K
Def.Rev (+L)	10K

Date 2 - Delivered products & services

Def.Rev (-L)	10K
Sales Revenues (+R, +SE)	10K

Prepaid Expenses (Assets)

When you pay for products and services in advance:

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

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Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as Prepaid Expenses (Asset!).

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as Prepaid Expenses (Asset!).
- This asset is converted to Expenses when the products and services are used up.

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as Prepaid Expenses (Asset!).
- This asset is converted to Expenses when the products and services are used up.
- Example: Prepaid 3-year insurance policy.

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as **Prepaid Expenses (Asset!)**.
- This asset is converted to **Expenses** when the products and services are **used up**.
- Example: Prepaid 3-year insurance policy.

Prepaid Expenses (Asset)

Amounts paid in advance for products and services that will be received in the future.

Date 1 - Paid cash for 12 month insurance policy

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as **Prepaid Expenses (Asset!)**.
- This asset is converted to **Expenses** when the products and services are **used up**.
- Example: Prepaid 3-year insurance policy.

Prepaid Expenses (Asset)

Amounts paid in advance for products and services that will be received in the future.

Date 1 - Paid cash for 12 month insurance policy

Prepaid Expense (+A)	12K
Cash (-A)	12K

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Prepaid Expenses (Assets)

When you pay for products and services in advance:

- You've paid the money, but you haven't received the products and services yet.
- You have the right to receive the products and services.
- You record the amount as **Prepaid Expenses (Asset!)**.
- This asset is converted to **Expenses** when the products and services are **used up**.
- Example: Prepaid 3-year insurance policy.

Prepaid Expenses (Asset)

Amounts paid in advance for products and services that will be received in the future.

Date 1 - Paid cash for 12 month insurance policy

Prepaid Expense (+A)	12K
Cash (-A)	12K

Date 2 - At the end of month 1: Recognize 1 month of expense (as used up)

Expenses (+E)	1K
Prepaid Expense (-A)	1K

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- 5 Other topics
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 - Net Profit Margin

Revenue Recognition - Case A

Prepare the **journal entries required at the end of each month**:

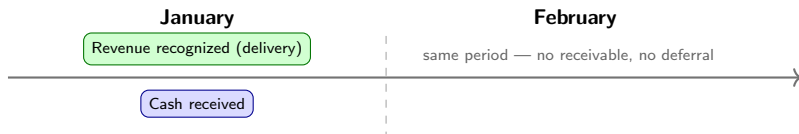
ABC corp. sold smartphones and collected \$10K in January.

January:

Revenue Recognition - Case A

Prepare the **journal entries required at the end of each month:**

ABC corp. sold smartphones and collected \$10K in January.

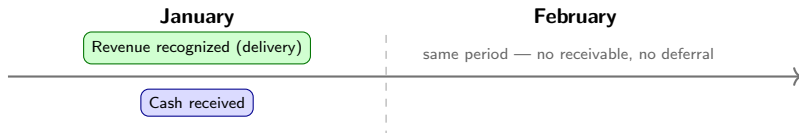


January:

Revenue Recognition - Case A

Prepare the **journal entries required at the end of each month:**

ABC corp. sold smartphones and collected \$10K in January.



January:

Cash (+A)	10K
Revenues (+R, +SE)	10K

Revenue Recognition - Case B

Prepare the **journal entries required at the end of each month**:

ABC corp. sold smartphones in January and collected \$10K in February.

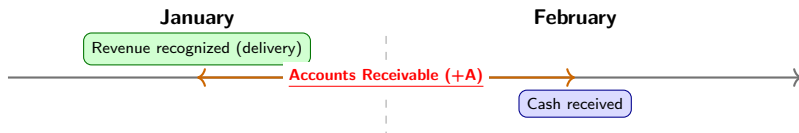
January:

February:

Revenue Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp. sold smartphones in January and collected \$10K in February.



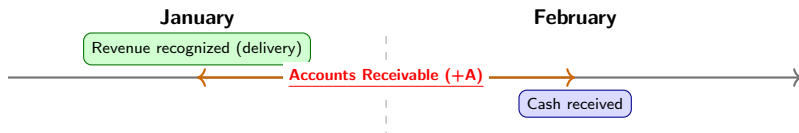
January:

February:

Revenue Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp. sold smartphones in January and collected \$10K in February.



January:

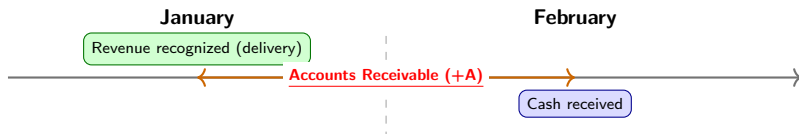
Acc.Rec (+A)	10K
Revenues (+R, +SE)	10K

February:

Revenue Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp. sold smartphones in January and collected \$10K in February.



January:

Acc.Rec (+A)	10K
Revenues (+R, +SE)	10K

February:

Cash (+A)	10K
Acc.Rec (-A)	10K

Revenue Recognition - Case C

Prepare the **journal entries required at the end of each month**:

ABC corp. collected cash in January and delivered smartphones in February.

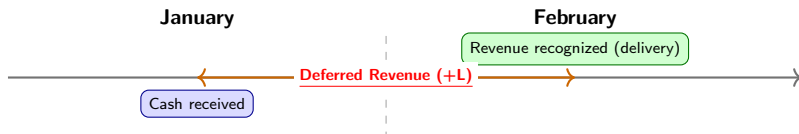
January:

February:

Revenue Recognition - Case C

Prepare the **journal entries required at the end of each month:**

ABC corp. collected cash in January and delivered smartphones in February.



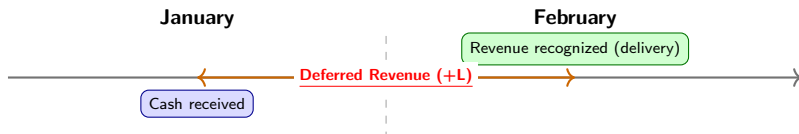
January:

February:

Revenue Recognition - Case C

Prepare the **journal entries required at the end of each month:**

ABC corp. collected cash in January and delivered smartphones in February.



January:

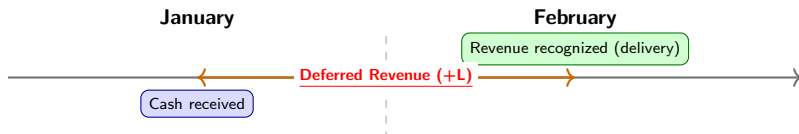
Cash (+A)	10K
Def.Rev (+L)	10K

February:

Revenue Recognition - Case C

Prepare the **journal entries required at the end of each month:**

ABC corp. collected cash in January and delivered smartphones in February.



January:

Cash (+A)	10K
Def.Rev (+L)	10K

February:

Def.Rev (-L)	10K
Sales Revenues (+R, +SE)	10K

Revenues are recognized when products and services are delivered!

Revenues (R) - Formal

Increases in assets or decreases in liabilities that arise when a company provides goods or services.

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Increases in assets or decreases in liabilities that arise when a company provides goods or services.

- Case A. Revenues recognized with increases in assets (Cash).

Revenues (R) - Formal

Increases in assets or decreases in liabilities that arise when a company provides goods or services.

- Case A. Revenues recognized with increases in assets (Cash).
- Case B. Revenues recognized with increases in assets (Accounts Receivable).

Revenues (R) - Formal

Increases in assets or decreases in liabilities that arise when a company provides goods or services.

- Case A. Revenues recognized with increases in assets (Cash).
- Case B. Revenues recognized with increases in assets (Accounts Receivable).
- Case C. Revenues recognized with decreases in liabilities (Deferred Revenues).

Matching Principle for Expense Recognition - Case A

Prepare the **journal entries required at the end of each month**:

ABC corp. received \$1K utility bill and paid it at the end of January.

January:

Matching Principle for Expense Recognition - Case A

Prepare the **journal entries required at the end of each month:**

ABC corp. received \$1K utility bill and paid it at the end of January.



January:

Matching Principle for Expense Recognition - Case A

Prepare the **journal entries required at the end of each month:**

ABC corp. received \$1K utility bill and paid it at the end of January.



January:

Utility Expenses (+E)	1K
Cash (-A)	1K

Matching Principle for Expense Recognition - Case B

Prepare the **journal entries required at the end of each month**:

ABC corp.'s employees worked for the firm in January and received \$5K in February.

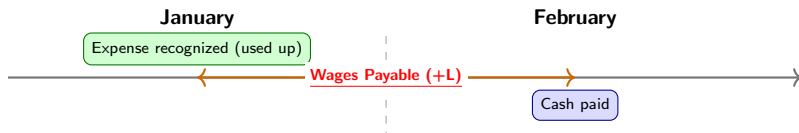
January:

February:

Matching Principle for Expense Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp.'s employees worked for the firm in January and received \$5K in February.



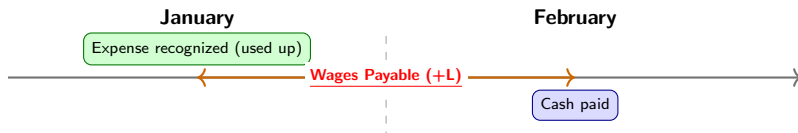
January:

February:

Matching Principle for Expense Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp.'s employees worked for the firm in January and received \$5K in February.



January:

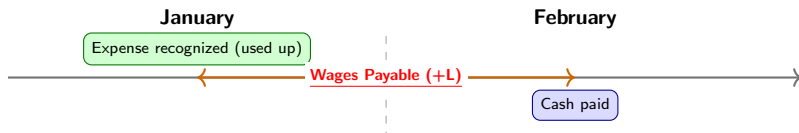
Wages Expense (+E, -SE)	5K
Wages Payable (+L)	5K

February:

Matching Principle for Expense Recognition - Case B

Prepare the **journal entries required at the end of each month:**

ABC corp.'s employees worked for the firm in January and received \$5K in February.



January:

Wages Expense (+E, -SE)	5K
Wages Payable (+L)	5K

February:

Wages Payable (-L)	5K
Cash (-A)	5K

Matching Principle for Expense Recognition - Case C1

Prepare the **journal entries required at the end of each month:**

ABC corp. purchased supplies (\$2K) in January and used them in February.

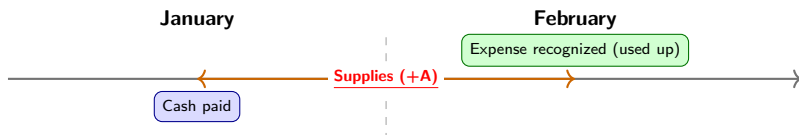
January:

February:

Matching Principle for Expense Recognition - Case C1

Prepare the **journal entries required at the end of each month:**

ABC corp. purchased supplies (\$2K) in January and used them in February.



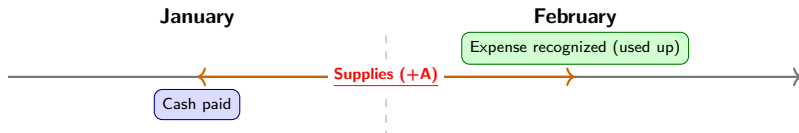
January:

February:

Matching Principle for Expense Recognition - Case C1

Prepare the **journal entries required at the end of each month:**

ABC corp. purchased supplies (\$2K) in January and used them in February.



January:

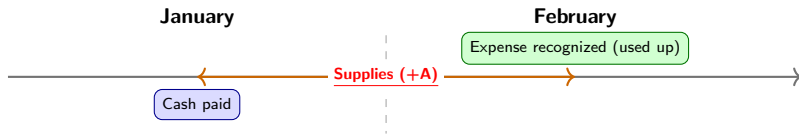
Supplies (+A)	2K
Cash (-A)	2K

February:

Matching Principle for Expense Recognition - Case C1

Prepare the **journal entries required at the end of each month:**

ABC corp. purchased supplies (\$2K) in January and used them in February.



January:

Supplies (+A)	2K
Cash (-A)	2K

February:

Supplies Expense (+E)	2K
Supplies (-A)	2K

Matching Principle for Expense Recognition - Case C2

Prepare the **journal entries required at the end of each month**:

ABC corp. purchased a 12-months insurance plan (\$12K) at the beginning of month 1.

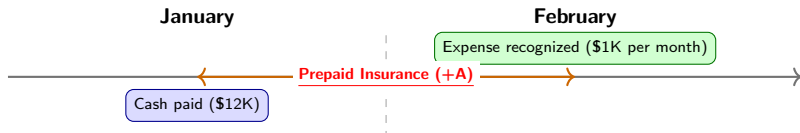
January:

February:

Matching Principle for Expense Recognition - Case C2

Prepare the **journal entries required at the end of each month**:

ABC corp. purchased a 12-months insurance plan (\$12K) at the beginning of month 1.



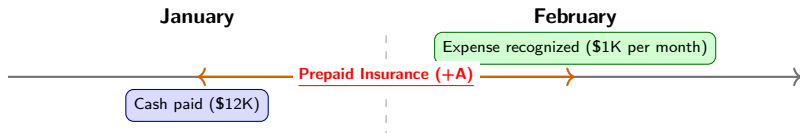
January:

February:

Matching Principle for Expense Recognition - Case C2

Prepare the **journal entries required at the end of each month**:

ABC corp. purchased a 12-months insurance plan (\$12K) at the beginning of month 1.



January:

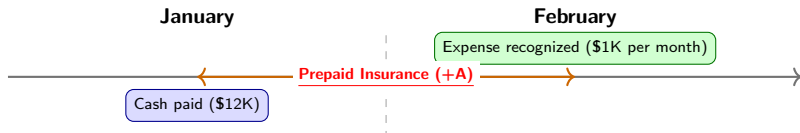
Prepaid Insurance Expense (+A)	12K
Cash (-A)	12K

February:

Matching Principle for Expense Recognition - Case C2

Prepare the **journal entries required at the end of each month**:

ABC corp. purchased a 12-months insurance plan (\$12K) at the beginning of month 1.



January:

Prepaid Insurance Expense (+A)	12K
Cash (-A)	12K

February:

Insurance Expense (+E)	1K
Prepaid Insurance Expense (-A)	1K

Expenses are recognized when “used up” / “incurred”

Expenses (E) - Formal

Decreases in assets or increases in liabilities relating to costs a company incurs when providing goods or services.

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Decreases in assets or increases in liabilities relating to costs a company incurs when providing goods or services.

- Case A. Expenses recognized with decreases in assets (e.g., Cash).

Expenses (E) - Formal

Decreases in assets or increases in liabilities relating to costs a company incurs when providing goods or services.

- Case A. Expenses recognized with decreases in assets (e.g., Cash).
- Case B. Expenses recognized with increases in liabilities (e.g., Accounts Payable; Wages Payable).

Expenses (E) - Formal

Decreases in assets or increases in liabilities relating to costs a company incurs when providing goods or services.

- Case A. Expenses recognized with decreases in assets (e.g., Cash).
- Case B. Expenses recognized with increases in liabilities (e.g., Accounts Payable; Wages Payable).
- Case C1 & C2. Expenses recognized with decreases in assets (e.g., Supplies; Prepaid Insurance).

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- In Ch2, we have prepared journal entries for the following August transactions.

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- In Ch3 (here), we prepare journal entries for the following September transactions.

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- For B/S accounts: balances are carried over from August to September.

- In Ch2, we have prepared journal entries for the following August transactions.
- In Ch3 (here), we prepare journal entries for the following September transactions.
- For B/S accounts: balances are carried over from August to September.
- For I/S accounts: balances are cleared at the end of August and initialized at the beginning of September.

- In Ch2, we have prepared journal entries for the following August transactions.
- In Ch3 (here), we prepare journal entries for the following September transactions.
- For B/S accounts: balances are carried over from August to September.
- For I/S accounts: balances are cleared at the end of August and initialized at the beginning of September.
- Why? revenues in August shouldn't be double-counted in September.

- 1 In September, Noodlecake sold \$3K of apps online. Cash collected in September.

- 2 Noodlecake issued three \$100 gift cards at the beginning of September.

- 3 Noodlecake sold \$9K of apps in the App Store and on Google Play. Cash will be collected in October.

- 4 Noodlecake received checks totaling \$8,500 from Apple and Google, on account.

- 1 In September, Noodlecake sold \$3K of apps online. Cash collected in September.

Cash (+A)	3K
Revenues (+R, +SE)	3K

- 2 Noodlecake issued three \$100 gift cards at the beginning of September.

- 3 Noodlecake sold \$9K of apps in the App Store and on Google Play. Cash will be collected in October.

- 4 Noodlecake received checks totaling \$8,500 from Apple and Google, on account.

- 1 In September, Noodlecake sold \$3K of apps online. Cash collected in September.

Cash (+A)	3K
Revenues (+R, +SE)	3K

- 2 Noodlecake issued three \$100 gift cards at the beginning of September.

Cash (+A)	300
Def.Rev (+L)	300

- 3 Noodlecake sold \$9K of apps in the App Store and on Google Play. Cash will be collected in October.

- 4 Noodlecake received checks totaling \$8,500 from Apple and Google, on account.

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Cash (+A)	300
Def.Rev (+L)	300

- 3 Noodlecake sold \$9K of apps in the App Store and on Google Play. Cash will be collected in October.

Acc.Rec (+A)	9K
Revenues (+R, +SE)	9K

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Cash (+A)	300
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- 3 Noodlecake sold \$9K of apps in the App Store and on Google Play. Cash will be collected in October.

Acc.Rec (+A)	9K
Revenues (+R, +SE)	9K

- 4 Noodlecake received checks totaling \$8,500 from Apple and Google, on account.

Cash (+A)	8,500
Acc.Rec (-A)	8,500

- 5 Noodlecake wrote checks to employees totaling \$7,800 for wages related to hours worked in September.

- 6 On September 1, Noodlecake paid \$7,200 in advance for September, October, and November rent.

- 7 Noodlecake displayed online ads in September and received a bill for \$500 to be paid in October.

- 8 Noodlecake was notified by its bank that an automatic monthly payment of \$600 was transmitted to its utility company for electricity use in September.

- 5 Noodlecake wrote checks to employees totaling \$7,800 for wages related to hours worked in September.

Wages Expense (+E, -SE)	7,800
Cash (-A)	7,800

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Prepaid Rent (+A)	7,200
Cash (-A)	7,200

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Cash (-A)	7,800

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Prepaid Rent (+A)	7,200
Cash (-A)	7,200

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Advertising Expenses (+E)	500
Acc.Pay (+L)	500

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Wages Expense (+E, -SE)	7,800
Cash (-A)	7,800

- 6 On September 1, Noodlecake paid \$7,200 in advance for September, October, and November rent.

Prepaid Rent (+A)	7,200
Cash (-A)	7,200

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Advertising Expenses (+E)	500
Acc.Pay (+L)	500

- 8 Noodlecake was notified by its bank that an automatic monthly payment of \$600 was transmitted to its utility company for electricity use in September.

Utility Expenses (+E)	600
Cash (-A)	600

T-accounts

Cash

Beg. 20,700	
3,000	7,800
300	7,200
8,500	600
End. 16,900	

Accounts Receivable

Beg. 0	
9,000	8,500
End. 500	

Supplies

Beg. 600	
End. 600	

Prepaid Rent

Beg. 0	
7,200	
End. 7,200	

Equipment

Beg. 9,600	
End. 9,600	

Software

Beg. 9,000	
End. 9,000	

Logo and Trademark

Beg. 300	
End. 300	

Accounts Payable

	Beg. 10,200
	500
	End. 10,700

Deferred Revenues

	Beg. 0
	300
	End. 300

Notes Payable

	Beg. 20,000
	0
	End. 20,000

Common Stock

Beg. 10,000

End. 10,000

Retained Earnings

Beg. 0

See Ch4.

Sales Revenue

Beg. 0

3,000

9,000

End. 12,000

Wages Expense

Beg. 0

7,800

End. 7,800

Utilities Expense

Beg. 0

600

End. 600

Advertising Expense

Beg. 0

500

End. 500

Unadjusted trial balance

- Take all the debits and credits from the T-Accounts to the Trial Balance.

Account Title	Debit (\$)	Credit (\$)
Cash	16,900	
Accounts Receivable	500	
Supplies	600	
Prepaid Rent	7,200	
Equipment	9,600	
Logo & Trademarks	300	
Software	9,000	
Accounts Payable		10,700
Deferred Revenues		300
Notes Payable		20,000
Common Stock		10,000
Retained Earnings		0
Sales Revenue		12,000
Wages Expense	7,800	
Utilities Expense	600	
Advertising Expense	500	
Total		

Unadjusted trial balance

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Equipment	9,600	
Logo & Trademarks	300	
Software	9,000	
Accounts Payable		10,700
Deferred Revenues		300
Notes Payable		20,000
Common Stock		10,000
Retained Earnings		0
Sales Revenue		12,000
Wages Expense	7,800	
Utilities Expense	600	
Advertising Expense	500	
Total	<u>53,000</u>	<u>53,000</u>

- 1 Introduction to Income Statement and Accrual Accounting
 - Operating Activities and Cycle
 - Revenues, Expenses, and Net Income
 - Debit-Credit Framework - Expansion
 - Accrual-basis Accounting vs Cash-basis Accounting
- 2 Important Accounts
 - Accounts Receivable (Assets)
 - Accounts Payable (Liabilities)
 - Deferred Revenues (Unearned Revenues, Liabilities)
 - Prepaid Expenses (Assets)
- 3 Revenue and Expense Recognition - Cases
- 4 Illustration
 - Journal Entries
 - T-accounts
 - Unadjusted trial balance
- 5 Other topics
 - I/S - temporary & B/S - permanent
 - Net Profit Margin

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	<u>I/S</u>	<u>B/S</u>
Accounts	R, E	A, L, SHE
Represents the financial effects	just the current period	all periods
Beg. Bal.	0	from the previous period
Initialized?	yes	no
temporary or permanent?	temporary	permanent

Net Profit Ratio (or Net Profit Margin)

- A profitability ratio that measures how much **net income** is generated as a percentage of net sales.
- Calculated as: $\frac{\text{Net Income}}{\text{Net Revenues}}$

EX. Calculate Noodlecake's net profit margin.

- Net Income: \$3,100 (\$12K - \$7,800 - \$600 - \$500)
- Revenue: \$12K

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$$\text{Net Profit Margin} = \frac{\text{Net Income}}{\text{Net Revenues}} = \frac{3,100}{12,000} = 0.258 = 25.8\%$$